

Frequency of Wage Changes

Pascal Michailat
<https://pascalmichailat.org/w/>

Dikens et al (2007)

JEP

International Wage Flexibility Project Dataset Characteristics

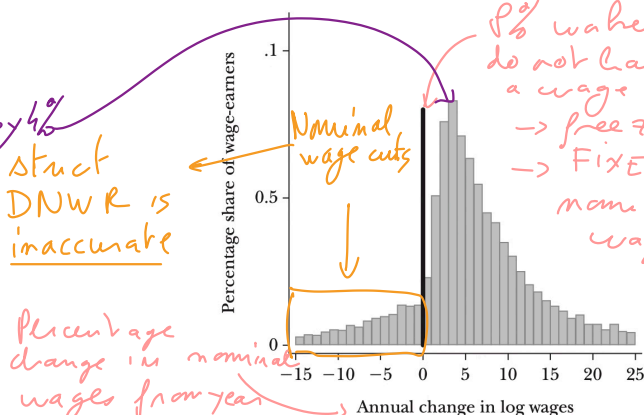
	Totals		Averages
Countries	16		
Datasets	31	Datasets per country	1.6
Dataset years	360	Years per dataset	11.6
Wage changes observed	31.3 million	Observations per dataset year	87,000

Country	Dataset*	Years	Wage Measure
1. Austria	Social Security	1972–1998	Annual earnings
2. Belgium	Social Security	1978–1985	Annual earnings
3. Denmark	Statistics Denmark register of employees	1981–1999	Annual earnings
4. Finland	Service employers	1990–2001	Wages/hour
	Industry employers (manual)	1985–2000	Wages/hour
	Industry employers (nonmanual)	1985–2000	Wages/hour
5. France	La Déclaration Automatisée des Salaires (DADS)	1976–1980, 1984–1989, 1991–2000	Annual earnings/hour
	Labor Survey (households)	1994–2000	Earnings/hour
6. Germany	Institut für Arbeitsmarkt und Berufsforschung (IAB)	1975–1996	Earnings**
7. Italy	Social Insurance	1985–1996	Annual earnings
8. Norway	Business and industry employers (blue collar)	1987–1998	Wages/hour
	Business and industry employers (white collar)	1981–1997	Wages/hour
9. Portugal	Quadros de Pessoal	1991–2000	Wages/hour
10. Sweden	Employers (blue collar)	1979–1990, 1995–2003	Wages/hour
	Employers (white collar)	1995–2003	Wages/hour
11. Switzerland	Social Insurance	1988–1999	Annual earnings
	Labor Force Survey (households)	1992–1999	Wages
12. U.K.	National Employment Survey	1976–2000	Earnings/hour
13. U.S.	Panel Study of Income Dynamics (household survey)	1970–1997	Wages/hour
14. Austria, Belgium, Denmark, Finland, France, Germany, Greece, Ireland, Italy, Netherlands, Portugal, U.K.	European Community Household Panel (household survey)	1993–2001***	Earnings/hour

Figure 2

Wage Change Distribution for All Countries and Years

Figure 2a: Nominal Wage Change



Nominal wage changes by 4%
→ FIXED real wage

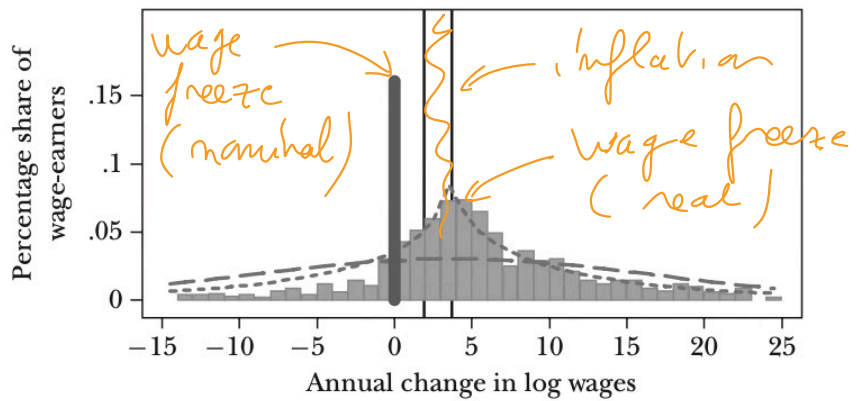
stuck
DNWR is
inaccurate

Percentage change in nominal wages from year to year

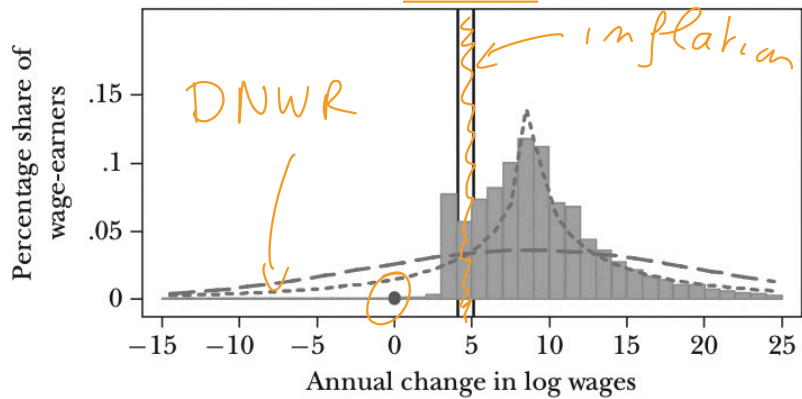
8% workers do not have a wage change
→ free &c
→ FIXED nominal wage

Annual change in log wages

United States 1987



Finland 1988



Conclusion: Significant rigidities in wage, both in nominal & in real terms. But strict DNWR is not apparent in data.